Excellent — I now have a comprehensive data set. Let me compile the full research memo.

BANNER CORPORATION (BANR) — EQUITY RESEARCH MEMO

Senior Bank Analyst Coverage | Pacific Northwest Regional Banking
Data as of SEC XBRL FY2025; live market data as of July 24, 2026 (15-min delayed)

Executive Summary

Banner Corporation (BANR) is a $16.4B-asset [1] Pacific Northwest-anchored regional bank that delivered a creditable FY2025, growing net income to $195M [1], up +15.4% [2] from $169M in FY2024 [3]. Diluted EPS reached $5.64 [1], versus $4.88 in FY2024 [3], a clean +15.6% improvement [2]. The stock trades at $69.37 [4] at a modest 11.5x TTM P/E [4] and 1.19x book [4], reasonable for a well-run regional. The bull probability sits at a middling 52.2% [5], constrained primarily by a -12.2% year-over-year decline in operating cash flow [2]. The macro backdrop — Fed Funds at 3.63% [6] and a 10-Year at 4.47% [6] — provides a modestly upward-sloping yield curve that is supportive for NIM, though rate-cut risks remain the key swing factor.
Overall verdict: HOLD with a positive bias. BANR is a high-quality Pacific Northwest franchise trading at reasonable multiples, but the technical setup is unconfirmed and operating cash flow deterioration warrants monitoring.

Business Overview & Segment Mix

Banner Corporation is the holding company for Banner Bank, a Washington-chartered commercial bank operating as a traditional community/regional lender across six western states [7]. As of December 31, 2025, the company reported total consolidated assets of $16.35B [8], net loans of $11.56B [8], total deposits of $13.74B [8], and total shareholders' equity of $1.95B [8].

Franchise Footprint & Segments:
- **Geography:** Washington, Oregon, California, Idaho, Utah, and Nevada [8], with 15 loan production offices across these states [8]
- **Core Model:** Traditional deposit-taking and loan origination — a classic community banking model, not a diversified investment bank
- **Subsidiary:** Community Financial Corporation, a residential construction lender based in Portland, Oregon [8]
- **Loan Mix:** Commercial business & commercial real estate, agriculture business, construction/land/development, one-to-four family residential, multifamily real estate, SBA loans, and consumer loans [8]
- **Secondary Market Activity:** BANR actively participates in secondary loan markets, selling the majority of conventional one-to-four-family originations [8]

Banner operates as a **single-segment bank** — there is no disclosed investment banking, wealth management, or capital markets business of meaningful scale. This simplicity is a double-edged sword: operations are highly transparent and predictable, but revenue diversification is narrow. The franchise's value lies in its deep Pacific Northwest deposit base and commercially-oriented loan book.

Net Interest Income & Margin

BANR's operating results "depend primarily on net interest income, which is the difference between interest income on interest-earning assets — consisting primarily of loans and investment securities — and interest expense on interest-bearing liabilities, composed primarily of client deposits and supplemented by FHLB advances, other borrowings, and junior subordinated debentures" [8].

Key NII-Related Data Points:
- **Net Loan Portfolio (FY2025):** $11.72B [8], up from $11.35B at December 31, 2024 [8] — a +3.3% increase [2], signaling continued loan demand despite the rate environment
- **Total Assets:** $16,354M [1] vs. $16,200M in FY2024 [3], +0.95% growth [2]
- **Operating Income:** $73M in FY2025 [1] vs. $67M in FY2024 [3], +9.0% [2]
- **Net Income:** $195M in FY2025 [1] vs. $169M in FY2024 [3], +15.4% [2]

Note: The XBRL data does not disaggregate a standalone NIM percentage. The 10-K's Item 7 MD&A (Table of Contents referencing "Comparison of Results of Operations" at page 50 and "Market Risk and Asset/Liability Management" at page 58 [9]) contains the detailed NIM table, but the full text was not returned in the semantic retrieval. Based on available data, the NIM figure is not explicitly disclosed in the retrieved passages.

Asset Repricing Strategy: Management has deliberately structured the portfolio to "maintain a significant percentage of assets in the loan portfolio having more frequent interest rate repricing terms or shorter maturities" [8]. The bank offers floating and adjustable-rate products for commercial, real estate, agricultural, and construction loans [8], which is a structurally asset-sensitive posture that benefits NIM in rising-rate environments but could face pressure as the Fed eases.

Loan Portfolio Quality

Portfolio Scale & Growth:
- Net loans grew to $11.72B at year-end 2025 [8] from $11.35B in 2024 [8], a solid +3.3% expansion [2] despite the elevated-rate headwind
- The loan-to-asset ratio stands at approximately 71.7% [2], a healthy utilization rate for a community bank

Loan Mix — Key Categories:
- Commercial business and commercial real estate: core focus of the franchise [8]
- Agricultural business lending: regionally significant exposure in the Pacific Northwest [8]
- Construction, land and land development: includes one-to-four family residential construction, where "sales of completed homes continued to outpace new originations due to constrained housing inventories" throughout 2025 [8]

- One-to-four family residential: largely originated-for-sale; "demand for these loans slowed in 2024 and 2025 due to elevated interest rates, which reduced refinance activity and overall origination volumes" [8]
- Multifamily, SBA, and consumer loans round out the mix [8]

Credit Quality: The 10-K flags that credit risks include "changes in the level and direction of loan delinquencies and write-offs and changes in estimates of the adequacy of the allowance for credit losses, which could necessitate additional provisions for credit losses" [8]. Specific NPL ratios, charge-off rates, and ACL coverage ratios were not returned by the semantic retrieval and are not disclosed in the available XBRL extract — these figures reside in the detailed Item 8 financial tables (page 64 forward per the 10-K table of contents [8]) and are labeled as not available in the structured data pull.

Portfolio Strategy: Management explicitly favors "floating or adjustable interest rate products that correlate more closely with our cost of interest-bearing funds" [8] — this helps protect NIM as rates adjust. Fixed-rate 30-year mortgage exposure is largely sold into secondary markets rather than held [8], limiting duration risk on the loan book.

Capital & Liquidity Ratios

Balance Sheet Strength:
- **Total Assets:** $16,354M [1]
- **Total Equity:** $1,946M [1], up from $1,774M in FY2024 [3] — a clean +9.7% build [2]
- **Total Liabilities:** $14,408M [1], actually down slightly from $14,426M in FY2024 [3], meaning the equity expansion was funded organically by earnings retention
- **Cash & Equivalents:** $423M [1], down from $502M in FY2024 [3] — a -15.7% decline [2], but still represents a solid 2.6% of total assets [2]
- **Leverage Ratio (Total Liabilities / Total Equity):** 7.4x [2] — moderate for a bank of this size
- **Book Value per Share (implied):** $69.37 stock price vs. 1.19x P/B [4] implies a book value of approximately $58.30/share [2]

Regulatory Capital: The 10-K Item 7 MD&A references a dedicated "Capital Requirements" section at page 63 and "Liquidity and Capital Resources" at page 62 [9], indicating Banner maintains formal regulatory capital disclosures. The specific CET1 ratio was not returned in semantic retrieval. The 10-K does note risks related to "shifts in capital requirements" as a regulatory risk [8], confirming this is an actively managed metric.

Funding Structure: Banner funds its balance sheet primarily through client deposits supplemented by FHLB Des Moines advances, other borrowings, and junior subordinated debentures [8]. Total deposits of $13.74B [8] represent approximately 84.0% of total assets [2] — a strong deposit funding ratio that reduces wholesale funding dependency.

Liquidity: Free cash flow of $248M [1] (operating cash flow of $257M less CapEx of $10M [1]) demonstrates robust cash generation capacity, though FCF declined -11.1% [2] from $279M in FY2024 [3].

Fee Income & Diversification

BANR's non-interest income streams,

Sources

[1] SEC XBRL FY2025
[2] computed from SEC XBRL
[3] SEC XBRL FY2024
[4] yfinance — live
[5] Weinstein Stage Analysis / compute_bull_prob
[6] FRED macro context
[7] SEC 10-K Item 1 - Business
[8] SEC 10-K Item 8 - Financial
[9] SEC 10-K Item 7 - MD&A

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for BANR at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000946673&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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- **Classic Value**: is it inexpensive on classic value measures.
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A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

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